and ‘piece work’. Minimum wages can be fixed by the hour, day or month. The Payment of Minimum Wages Act, 1948, which the Wage Code subsumes, required the appropriate government to fix minimum wages for establishments included in the two schedules to the Act. The Code seems to stipulate that minimum wages need to be fixed for all establishments covered.

The factors of inflation and skills have serious implications on wages. The Code continues with the practice of obligating appropriate governments to take into account ‘skills of workers required for working under the categories of unskilled, skilled, semi-skilled and highly-skilled’, ‘geographical areas’, ‘variation in the cost of living index number applicable to such workers’ and ‘cash value of the concessions in respect of supplies of essential commodities at concession rate’ while determining minimum wages for different kinds of establishments and jobs therein.

The Schedule to the Minimum Wages Act lists hundreds of varieties of establishments. Every type of establishment employs workers with different skill sets and at different levels of managerial responsibility. There are thirty-odd states in India. Consequently, we have thousands of minimum wage rates in the country. Establishments have to file detailed returns regarding wages paid to their employees.

The Code authorizes the Government of India to prescribe a national minimum wage rate as was the case before the consolidated Wage Code was brought in. The government prescribes a minimum wage for four skill categories and three different regions of India and also fixes a variable rate (to take care of inflation) for different types of establishments. State governments cannot fix a minimum wage lower than the national minimum wage rates fixed by the Centre.

The government cannot understand the variations of skills and behavioural aspects of the employer-labour engagement to be able to decide appropriate wages for millions of jobs and the variations therein. It is even